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ELECTRONIC COMMERCE

DR. EBRAHIM KHALED

لطلاب قسم MIS



بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

**4th year - mis track
course package**
اونلايين

**3
SUBJECTS :**

**IIS
E-COMMERCE
DSS**

الأسعار :

٣ مواد ١٠٦٠ ج
مادتين ٨١٠ ج
مادة ٤٦٠ ج

→ CONTACT US
0127 187 3664



شبابنا الحلو .. ربنا معاكوا في اخر ترم
وفي مشروع التخرج.

حنكون معاكوا ان شاء الله في 3 مواد
... متشغلوش بالكوا بيهم و ركزوا في
مشروعكوا

شكر خاص جدا لدكتور كريم محمد علي المساعدة في تحضير الورق

Chapter 2 (Part 1):

➤ Definition of E-Marketplace (IMP)

- an **online market**, usually **B2B**, in which buyers and sellers **exchange goods OR services**

هنا نتكلم علي السوق الالكتروني، اللي بيتقابل فيه البائع / المشتري ويتبادلوا فيه المنتجات، الخدمات.. واغلبية المعاملات اللي بتتم في السوق دا بتبقى من نوع ال B2B

✚ The three types of e-marketplaces are:

1. **Private** specific buyers and sellers
2. **Public**
3. **Consortia transactions** between members of the supply chain

Marketplace

A marketplace in which sellers and buyers **exchange goods and services for money OR for other goods and services** but do so electronically

➤ E-Marketplace Components and Participants:

هنا نتكلم علي العناصر الموجودة وبتشارك في السوق الالكتروني:

- Customers/ Buyers
- Sellers
- Other business partners Like : Suppliers
- Products and services
- Support services
- Infrastructure

➤ Important definitions:

- **Digital product** : Goods that can be **transformed to digital format** and delivered over the Internet

اي منتج بيتم توصيله للعميل من خلال الانترنت يسمى بال Products Digital

- **Examples**: Music, book, Films, Programs

- **Intermediaries** : Third parties that operates between sellers and buyers

الوسيط: هو حلقة الوصل الموجودة بين البائع / المشتري

- **Remember**

intermediary = Third Party = Middleman = E-Distributor = Supplier = Broker

صلي علي سيدنا محمد

- **Front end:** The portion of an e-seller's business processes through which customers interact, including :
 1. seller's portal
 2. electronic catalogs
 3. a shopping cart
 4. a search engine
 5. payment gateway
- **back end :** The activities that support online order fulfillment, inventory management, purchasing from suppliers, payment processing, packaging, and delivery

➤ Functions of a Market

Matching of Buyers and Sellers	Facilitation of Transactions	Institutional Infrastructure
• Determination of Product offerings, Product features offered by the sellers • Aggregation of different Products • Search: of buyers for sellers and of sellers for buyers • Price and Product information organizing bids and bartering Matching seller offering with buyer Preferences • Price Discovery: Process and outcome in determination of Prices enabling Price comparisons • Others: Provide sales leads	• Logistics: Delivery of information, goods services to buyers • Settlement: Transfer of Payments to sellers • Trust: Credit System, reputations rating agencies such as consumer Reports and online trust agencies • Communication: Posting buyer's requests	• Legal: Commercial Code contract law, dispute resolution, intellectual Property Protection • Export and import law • Regulatory: Rules and regulations, monitoring enforcement • Discovery: Provides Market information about competition, government regulations



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➤ **Types of E-Marketplaces**

- **Web store Or Storefront:** A single company's Web site where products or services are sold (**Ex:** Dell, HP)
الموقع الخاص للشركة التي بتعرض من خلاله منتجاتها والعميل هنا يتعامل الشركة بشكل مباشر دون اللجوء لوسيط
- **E-mail or online mall:** An online shopping center where many online stores are located (**Ex:** Amazon, Jumia, Souq.com)
هنا نتكلم على موقع عليه شركات كثيرة جدا بتعرض عليه منتجاتها زي امازون/جوميا
- **Private e-marketplaces:** Online markets owned by a single company; may be either sell side and/or buy side e-marketplaces
 - **Buy-side e-marketplace....one buyer and many sellers....**
(Textbook): A private e-marketplace in **which one company makes purchases from invited suppliers**
هنا الشركة بتشتري احتياجاتها من العديد من البائعين / الموردين
 - **Sell-side e-marketplace....one seller and many buyers....**
(Textbook): A private e-marketplace in which one company sells either standard and/or customized products to qualified companies
هنا الشركة بتعرض / بتبيع منتجاتها للبيع للعديد من المشترين

Buy-side e-marketplace (X) Sell-side e-marketplace

- **Public e-marketplaces:** B2B marketplaces, usually owned and/or managed by an independent third party, that include **many sellers and many buyers**, also known as exchanges

Private e-marketplaces (X) Public e-marketplaces

➤ **information portal:**

- **A single point of access:** through a Web browser to business information inside and/or outside an organization
موقع تابع للشركة بتستخدمه لعرض معلومات عنها وعن منتجاتها ومفيش اي عمليات بيع / شراء بتتم من خلال الموقع دا
- **VIP Note:**
Web portal = information portal
- **Types of Portals:**
 - Commercial public Portals **EX: Google, Yahoo, You-tube**
 - Corporate Portals
 - Publishing Portals
 - Personal Portals **Ex: Blog**

➤ The Role and Value of intermediaries in E-Marketplaces

هنا نتكلم على الادوار/الانواع المختلفة للوسطاء

- **Intermediaries**: link sellers and buyers and play an important role in commerce by **providing value added activities** and services usually for a fee
- **Broker** : a company that **facilitates transactions** between buyers and sellers
الوسيط / السمسار: هو الشركة / الشخص الذي يربط بين البائع / المشتري، ويجعل عملية التبادل بين الطرفين بشكل افضل.. وفي المقابل يباخذ عمولة
مثال واقعي: ابليكشن طلبات يعتبر وسيط، بين المطاعم البائع وبين العميل (المشتري) والابليكشن يباخذ عمولة من الطرفين.. لان قدم خدمة التوصيل للعميل، وخدمة التسويق للمطاعم
- **Infomediaries**: **Electronic intermediaries** that gather and organize **large amounts of data** and provide and/or control information flow in cyberspace, often **aggregating information and selling it to others**

Intermediaries can address the following five important limitations of direct interaction

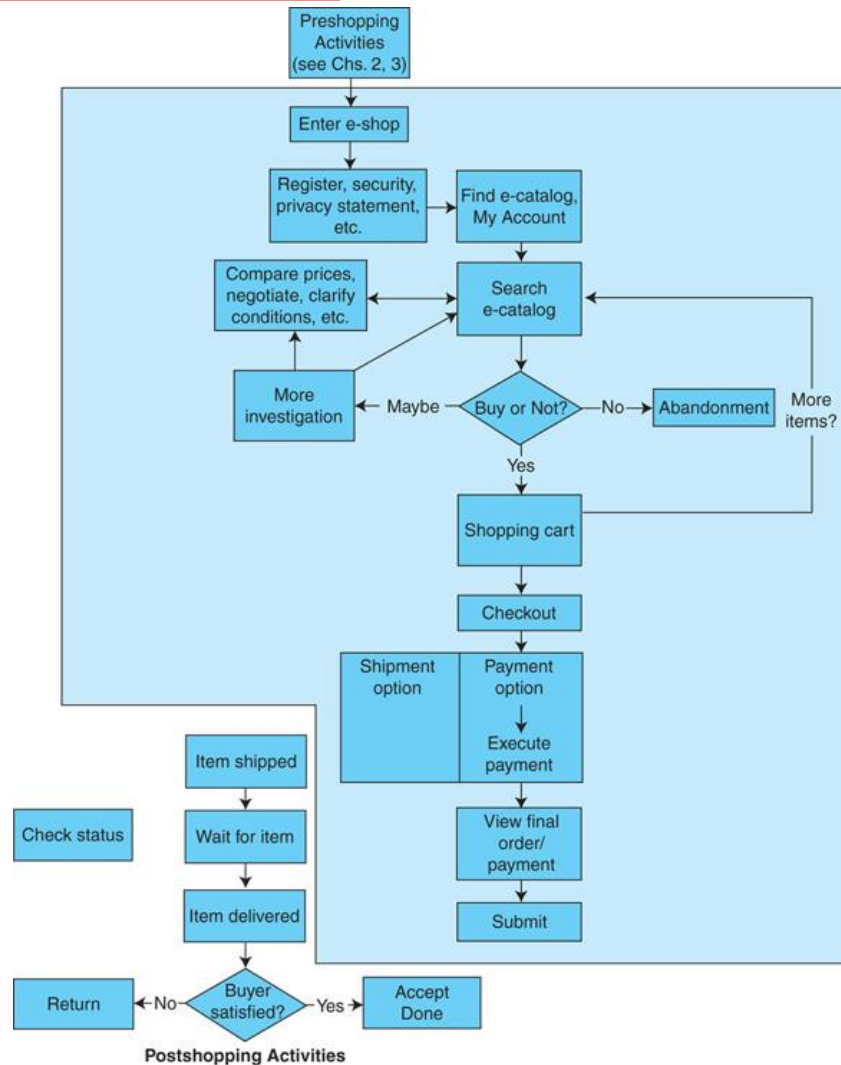
1. **Search costs**
 2. **Incomplete information**
 3. **Lack of privacy**
 4. **Pricing inefficiencies**
 5. **Contract risk**
- **E-distributor**: An e-commerce intermediary that concerns manufacturers with **business buyers OR customers** by aggregating the catalogs of many manufacturers in **one place** The intermediary's website
 - **Ex**: Amazon, Jumia, soqu.com
 - **Disintermediation**: Elimination of intermediaries between sellers and buyers in Other Word: **cutting out the middleman**
 - **Reintermediation**: Establishment of new **intermediary roles for traditional intermediaries** that have been disintermediated, or for newcomers **such as**: Supplier search, Product evaluation, price comparison

Disintermediation (X) Reintermediation



صلي علي سيدنا محمد

➤ Buying Process in E-Market



خلاصة الرسة: بنوضح الخطوات اللي يقوم بيها العميل من بداية مايدخل الموقع، لحد مايقوم بعملية الدفع... وبأكد عملية شرائه للمنتج اللي اختاروا

➤ Electronic Catalogs and Other Market Mechanisms

- **Electronic catalogs:** The presentation of product information in an electronic form
- **VIP Note...(T/F):**
 - Electronic catalogs are the backbone of most e-selling sites (✓)

➤ Three dimensions of electronic catalogs along which they are classified:

1. The dynamics of the information presentation
2. The degree of customization
3. Integration with business processes

➤ **Comparison of Online Catalogs with Paper Catalogs**

Paper Catalogs	
Advantages	Disadvantages
• Easy to Create without high Technology • Reader is able to look at the catalog without computer system • More Portable Than electronic	• Difficult to update changed Product information Promptly • Difficult to develop catalogs, large, fixed cost • There is a need for customers skill to deal with computer and browser • Only a limited number of products can be catalog displayed • Limited information through Photographs and textual description is available • No Possibility for advanced multimedia such as: animation and voice
Online Catalogs	
Advantages	Disadvantages
• long-term cost saving • Easy to customize • Easy to update Product information • More Comparative shopping • Able to integrate with the Purchasing Process • Easy of connecting order processing, inventory processing, and payment processing to the system • Good search and comparison Capabilities • Able to provide timely, up-to-date product information • Provision for globally broad range of product information • Possibility of adding on voice and animated Pictures	• Require internet Connection • Require High Technology • Reader is able to look at the catalog with computer system

VIP Note:

The **Advantages** of **e-catalogs** is **Disadvantages** Compared to **Paper Catalogs**

➤ Types of searches

- **Search engine:** A computer program that **can access databases** of Internet resources, search for specific information or key words, and report the results

- **Ex:** Google, Yahoo

محرك البحث: هو عبارة عن برنامج يمكن من خلاله البحث عن أي معلومات وممكن البحث من خلال الكلمات المميزة

مثال بسيط: لوف اغنية عاوز تحملها بس ناسي اسمها.. هاتعمل إيه؟ هاتدخل على متصفح جوجل وتكتب مقطع من الاغنية، وها يظهر لك اسم الاغنية وتقدر تحملها

- **software (intelligent) agent:** **Software** that can perform routine tasks that require intelligence

- **(Text-Book)** ...Programs that **work in the background without direct human intervention** to carry out specific, repetitive, and predictable tasks for user, business process, or software application

- **electronic shopping cart:** An order processing technology that **allows customers to accumulate items they wish to buy while they continue to shop**

هنا نتكلم علي سلة المشتريات الموجودة في أي موقع تجارة الكترونية، والتي يتمكن العملاء انهم يضيفوا للمنتجات التي عاوزين يشتروها لحد ما يخلصوا عملية التسوق بتاعتهم



صلي علي سيدنا محمد

MCQ

1-An online market, usually B2B, in which buyers and sellers exchange goods or services best defines ____

A) cybermarket. B) e-marketplace C) auction site. D) cyberstore

2-The portion of an e-seller business through which customers interact, including the seller's portal, electronic catalogs, shopping cart, and payment gateway is referred to _____

A) front end B) back end C) infrastructure D) intermediary

3-Activities related to order aggregation and fulfillment, inventory management, purchasing from suppliers, accounting and finance, packaging, and delivery are done in what is termed the _____ of the business.

A) front end B) back end C) infrastructure D) intermediary

4-A private e-marketplace in which one company sells either standard and/or customized products to qualified companies best defines _____

A) buy-side e-marketplace. B) sell-side e-marketplace. C) Webstore. D) hidden e-marketplace

5-The elimination of various types of agents that mediate between buyers and sellers, such as travel and insurance agents, is referred to as _____

A) automation. B) disintermediation. C) remediation. D) e-distribution

6-A(n) _____ is a single point of access, through a Web browser, to critical business information located inside and outside via Internet an organization.

A) browser B) intermediary C) Web portal D) search engine

7-An e-commerce intermediary that connects manufacturers with business buyers customers by aggregating the catalogs of many manufacturers in one place best describes _____

A) electronic catalog. B) e-distributor. C) metamediary. D) brokers

8-Electronic intermediaries that provide and/or control information flow in cyberspace, often aggregating information and selling it to others, best defines _____

A) infomediaries. B) knowledge managers. C) metamediary. D) Webstore

9-Online markets that are owned and operated by a single company and that are either sell-side or buy-side are known as_____

- A) private e-marketplaces. B) commercial portals. C) e-malls.
- D) B2B marketplaces

10-The major _____ mechanisms are storefronts and Internet malls.

- A) B2B B) C2B C) B2B2C D) B2C

11-Each of the following is a true statement about public e-marketplaces EXCEPT :

- A) public marketplaces are usually B2B markets.
- B) public marketplaces are often owned by a third party.
- C) public marketplaces are not regulated by the government.
- D) public marketplaces serve many sellers and buyers.

12-Each of the following is a major component and player in a marketplace EXCEPT

- A) auctions. B) products and services. C) infrastructure. D) front end

13-Traditional and electronic markets have three main functions, which include each of the following EXCEPT

- A) matching buyers and sellers.
- B) facilitating the exchange of information, goods, services, and payments associated with market transactions.
- C) financing the transformation of raw materials into finished products.
- D) providing an institutional infrastructure, such as a legal and regulatory framework that enables the efficient functioning of the market

14-_____web resource that provides information on products and services offered and then sold by a vendor

- A) electronic catalog. B) search engine. C) supply chain. D) payment gateway

15-Benefits of e-Catalogue includes all of the following EXCEPT

- A)Need to reprint B)Difficult to modify c)Costly d)None of the Mentioned

16-_____allow users to search the for content using keywords

- A)Search engines B)shopping cart C)e-catalog d)Desktop search

Answers:

| 1-B | 2-A | 3-B | 4-B | 5-B | 6-C | 7-B | 8-A | 9-A | 10-D | 11-C | 12-A | 13-C | 14-A | 15-D | 16-A |



- 1-The emergence of electronic marketplaces has resulted in lower information search time and costs for buyers**
- 2-Diintermediation is the elimination of intermediaries between sellers and buyers**
- 3-Web portal is a single point of access, through a Web browser, to critical business information loaded inside and outside via Internet an organization**
- 4-organizations selling stock information analysis is considered an e-distributor**
- 5-The two major types of online intermediaries are infomediaries and negotiators**
- 6-Travelers using airline Web sites to book their flights directly, without the use of travel agents, is resulting in the reintermediation of travel agents**
- 7-An electronic shopping cart is an order-processing technology that allows customers to accumulate items they wish to buy while they continue to shop**
- 8-Private and public are two types of e-marketplaces**
- 9-e-catalogues are customizable and configurable**
- 10-an intermediary is a third party that operates between manufacturers and buyers, Intermediaries of all kinds offer their services on the Web**

Answers:

| 1-T | 2-T | 3-T | 4-F | 5-F | 6-F | 7-T | 8-T | 9-T | 10-F |